

BUSINESS PLAN GUIDELINE

This guideline is designed for participants in the Business Management Competition #12 2026, held virtually by the Student Association Majoring in Business Administration, the Big Family of Bali State Polytechnic Students. Each contestant must design a business plan for digital- based services and products such as Digital Business, Digital Systems, or Creative Industry Ideas, which will be executed in the region where the contestant is from, or executed online. A business plan contains the following 7 elements:

A. INTRODUCTION

In this introduction you briefly write a case study that you took as the background for your business plan. Describe the location of the case study (Country/region), the business phenomenon, then briefly the reasons why you decided to design a business plan in a particular service or product area.

B. EXECUTIVE SUMMARY

It is written last but is placed first in the business plan. The Executive Summary should not exceed 2 pages. We recommend five paragraphs – each paragraph summarizes one of the following sections:

1. Company Profile

What products or services do you propose and what is their value (or what sets you apart)? Who are the owners and what skills do they bring to the business (briefly)?

2. Market Research

What are the main findings about your industry and competitors? Who is your target audience?

3. Marketing

How do you get clients and what strategy makes the most sense?

4. Operation

What resources do you need to get started?

5. Finance

How much money do you need to get started? How will it be used? What are your first year sales and spending expectations?

C. COMPANY PROFILE

In this section you describe your proposal - the strength of your product or service. You include how your company was founded, who owns the company and what they bring to the table.

1. Business Overview

Describe your product or service clearly, including its value. Explain why customers will buy it and highlight one main benefit (Unique Selling Point). Focus on a single key advantage, such as saving time, better quality, ease of use, comfort, minimizing risk, reducing pain, credibility, social responsibility, enjoyment, or low cost.

2. Company History

Explain how your idea was first developed. Describe the progress you have made so far, including research, development, or any sales. Who are your current customers, and what is your present operating status?

3. Vision and Mission

Vision is about the end result – your ideal position. How do you visualize the company 5 – 10 years from now? How is your company will be known? For example, a vision statement for a tutoring company can be a measure of the quality of tutoring in the area. Mission describes the basic purpose of your business. Mission focuses on the present, while your vision describes the future. Think of your mission as your guiding principle in dealing with your customers. For example: Making tutoring fun and interesting for students. This entrepreneur knows that, on a day-to-day basis, it is his mandate to ensure students are truly engaged in their own learning.

4. Management

Outline of key personnel in the company and relevant experience/training they have business – related. It should not be written like a resume but in paragraph form. You may include: relevant work experience; Education and training; industrial contacts; life experience; projects being worked on; excitement; Skills; performance; appreciation; volunteer work.

5. Legal Structure

What is the business structure: sole proprietorship, partnership or legal entity? State any reasons for the structure. If there is a partnership or corporation, please state details of ownership, shares issued etc.

6. Location

Where will you be placed? Provide address. Give reasons for location. Discuss rent, traffic and parking. What businesses are around you? For leased premises, most lenders will require either a letter of intent or a copy of the lease from the landlord.

7. Goals & Objectives

Goals & Objectives must be SMART: Specific, Measurable, Achievable, Realistic and On time. You can also include an achievement you want to achieve such as introducing a second product, or updating a product you created. Include any major new initiatives that you have planned for a period of 2 – 5 years including hiring new employees or expanding to a larger location.

D. MARKET RESEARCH

In this section you take a closer look at how your industry works, who your competitors are and who your best customers are. What business are you in? How does the industry work? Who are your main competitors? How did the industry develop? What are the predictions for the future? Are they valid and how will they affect your business?

1. Local Market

What will you serve initially? For example, if you open an e-commerce App, your direct market is most likely customers are only willing to make transactions if your app's market rating is high. What is geographic scope? How many customers in the area? Businesses selling online may also need to target key geographic areas to get started. In a SWOT analysis, make sure you compare all the relevant companies in your location.

2. SWOT Analysis (Strengths, Weakness, Opportunities, Threats)

SWOT analysis forces you to evaluate your competitors so that you have a better understanding of where you should position your offering.

- a. Strengths: What does this company have from a customer point of view?
- b. Weaknesses: What weaknesses did you observe? Avoid subjective statements for example, “they don't care about their customers”
- c. Opportunity: What gaps can you identify in competitive bidding? For example, if your competitors do not offer same day service, you can consider offering same day service.
- d. Threats: What might competitors do to make it difficult for your business? What might happen in the industry (i.e., new laws, etc.)?

3. Target Market

Describe your target customer. Identifying your target market will help you develop a much more effective marketing strategy. In most cases, you shouldn't plan to sell to just anyone and everyone. The goal is to find your best customers and clearly describe them based on their common traits. For your best customers, you should ideally list 8-12 common traits such as:

- a. Demographics: Age; gender; income; education; nationality; profession
- b. Lifestyle/ Psychographics: Hobbies/interests, what they value most, activities relax, what do they like to buy
- c. Behavior: What will “trigger” your customers to buy the product or your services? what do your customers have?
- d. Coverage: Where do your customers live and work? What is the geographic coverage what do you want to cover?

Determine who your best paying customers are. These are often the people or groups who value your product or service the most and are willing to pay for it, not necessarily the people who need your services. Based on the profile, determine the true size of your target market.

E. MARKETING

In this section you determine how you will market to your target group. What is the most effective way to reach them? Specifically, for each marketing activity how will you achieve your target, when, how often, at what cost and what exactly will you do? Marketing is about developing a consistent and detailed strategy.

1. Pricing Strategy

It is important to have a clear understanding of what your competitors are wearing. This section outlines your competitors' basic costs or prices and what you plan to charge. Why? Justify your price. The pricing strategy should align with your positioning statement. In this section your price list.

2. Marketing Strategy Create

List the overall direction of your marketing efforts. What is the most effective and method to reach your best customers (target market)? Check your top 3-5 activities, prioritize them, and list details about implementation.

- a. Key Marketing Activities (most effective activities)
- b. Secondary Marketing Activities (next most effective activity)

c. **Supporting Marketing Activities** (next most effective activity)

For each major marketing activity, answer these questions: How and where will this happen? How much will it cost and when will it be spent? What support materials will you need? What is the follow-up/measurement system? When will you do this and how often?

3. Marketing Objectives

You must have specific and measurable goals for your marketing activities. These goals can be expressed in terms of monthly, quarterly or yearly sales, clients, website visits, events executed, ad impressions, readership, circulation, etc. Remember, if you have listed all your goals and objectives under your Company Profile, then you will not need to list them here.

4. Market Segmentation

The business plan that you create must classify the appropriate market segments. Businesses that segment the market correctly will benefit significantly. Segmentation is very important to increase profits. In a sense, market segmentation is research that determines how your organization divides its customers or groups into smaller groups based on characteristics. For example, age, income, personality traits or behaviors.

F. OPERATION

This section outlines what you need to have in place to fulfil orders and meet customer expectations after the sale is made.

1. Resource Management

a. Location

For physical locations, please describe the location, backup location, if applicable, and the reason for your choice. Provide hours of operation. Most lenders will require a copy of the lease or a letter of intent from the landlord. If your business is web-based, provide a design or prototype, along with the design rationale and key selling features of the website.

b. Initial Capital Expenditure Inventory

Opening: For a retail or wholesale business, list the amount of starting inventory you will need and the general margin/mark-up for your product or service. Purchasing major equipment: What major equipment have you acquired/needed to acquire and why it is important to your business?

c. Law

Discuss any legal issues here such as required licenses, regulatory issues, contracts to be concluded or zoning regulations. Most lenders will expect you to have standard insurance coverage in addition to coverage specific to your industry.

d. Resource

Discuss your personnel needs here. Will you need to hire employees, or will you subcontract the work? Assess the costs and implications of your resource requirements. What do you need and how will you conduct the training? Consider your deductions for salary.

e. Production Process

How will you fulfil the order once you get it? If you manufacture or assemble products, discuss capacity issues i.e., how many orders can you physically fill each day/month? You need to do a supplier analysis if your main selling point is your suppliers. What is your lead time from supplier? What will happen if you can't use it? Do you need point of sale equipment?

f. Risk Assessment

Discuss the potential risks of starting your business. Readers of your business plan need to be reassured that you are considering the risks associated with your business, and that you have plans to reduce or minimize those risks wherever possible. Pay attention to the following:

- Marketing - What factors made it difficult to get customers and what would you do if that happened?
- Operations - What factors will complicate order fulfilment and what are your contingency plans?
- Finance - What factors make it difficult to maintain positive cash flow and what are your alternatives?

g. Main Competencies

Discuss about the main competencies needed in your business for each of the Human Resources needed to support development of the created business. Do the Human Resources you need have special skills? What knowledge of Human Resources is required to meet the criteria? What is the nature of the required Human Resources?

G. FINANCE

In this section you will cover initial costs, financing, forecasting sales, and completing two years of monthly cash flow. Cash flow helps you see how and when cash is going in and out of your business.

1. Financing

What are the costs associated with starting your business? How much will you be donating and what are the sources of the rest? The following spreadsheet will give you an idea of the types of expenses you may face.

GOODS	COST OF THE GOODS	TOTAL
LOAN		
First and last month		
Building equipment		
Staff		
Legal cost for renting		
START-UP COST		
Insurance		
Business permit		
Equipment		
Office equipment (table, chair, archive)		
Computer, Printer, fax machine		
Marketing		
Website		
Legal cost for renting		
Supply		
SUBTOTAL		
Cash		
Working capital		
TOTAL		

2. Sales Forecast

When projecting sales, it is important that you give reasons for your projections. Start by making some general assumptions, such as how much you will wear, seasonal variations, major marketing initiatives. Then you give a brief explanation of how this generates sales figures, month by month. This is very important because it will force you to really think about the types of marketing activities you need to do to generate sales.

3. Break Event Points

Break Event Point (BEP) is the point where the income from the business is equal to the capital issued, there is no loss or profit. Break Event Point is an important measure in business. This is important in your business when you start to expand your business. You can convince investors or owners of outside companies that you might involve in your business.

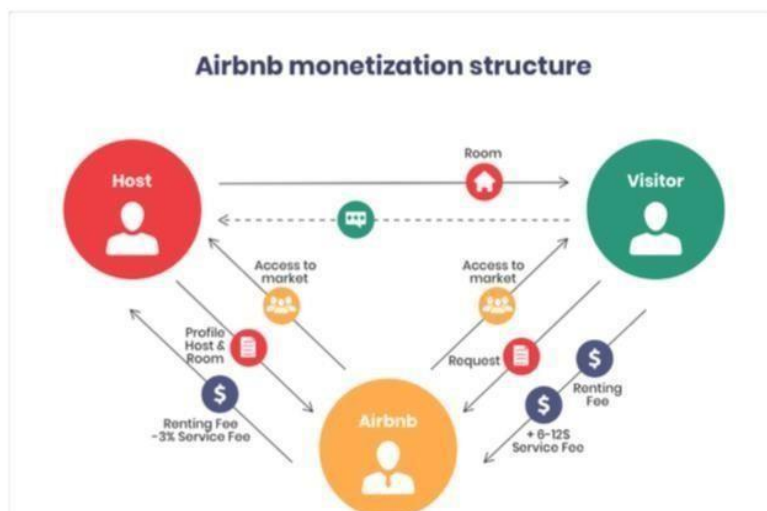
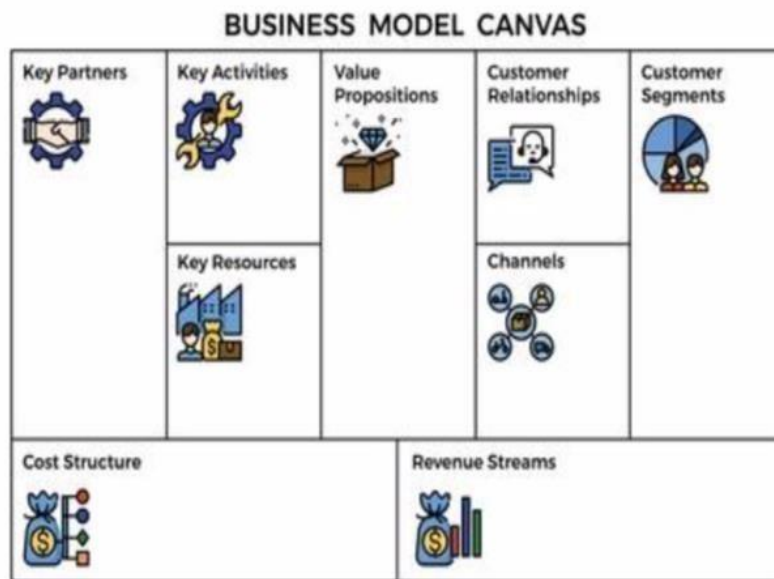
4. Return on Investment

One of the financial calculations that must be done for business people. Return on investment is a ratio that shows the results of the total assets used in the company. The main reason for the importance of Return on Investment is that it is the most appropriate measure of business profits. Return on Investment is used to calculate the value of an investment. For example, investors want to know the potential Return on Investment from your business investment results before providing any funds to your business.

BUSINESS
MANAGEMENT
COMPETITION #12

H. APPENDIX OF CANVAS BUSINESS MODEL

Business model Canvas is important for those of you who want to design their business ideas easy and structured. The business model canvas is a business management framework created to design how the business strategy will be executed. so that everyone has the same and real understanding of the types their customers, expenses, how the company works and so on.



2